
Problem-Solving Through Metrics

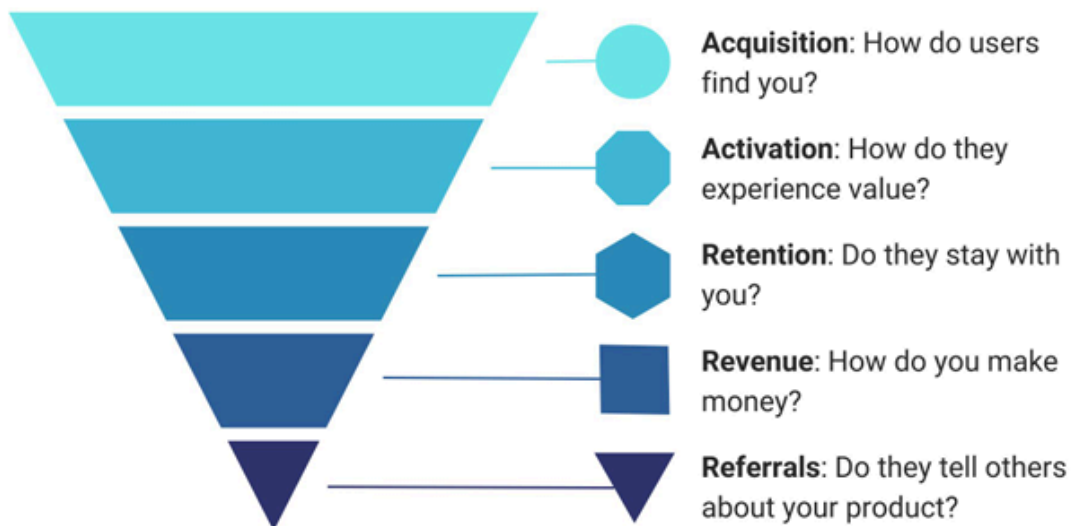
The content promotes **digging deeper into the data** to understand:

- **Why users aren't engaging** (e.g., low Watch Start Rate or retention),
- **Where the funnel is breaking** (AARRR framework),
- **What metrics signal deeper issues** (DAU/MAU, churn, session length, etc.).

This is **RCA in action**: identifying a symptom (e.g., low retention), then analyzing data to uncover the **root issue** (e.g., poor onboarding or irrelevant content).

AARRR Framework (Pirate Metrics) as RCA Input

Each stage in AARRR can surface problems that demand RCA:





- Acquisition App Store downloads
- Activation Completing first lesson
- Retention Daily streaks
- Referral Share streak with friends
- Revenue Subscription upgrades

Stage	RCA Relevance
Acquisition	Why are users not downloading the app despite marketing spend?
Activation	Why are users dropping off before placing their first order?
Retention	Why aren't users coming back? (Churn reasons, onboarding gaps)
Referral	Why are users not referring the product?
Revenue	Why aren't users converting to paid subscriptions?

Example RCA Application:

Case: Zomato acquisition is high, but retention is falling.

PM Action: Run RCA by asking:

- What are the common traits of retained vs. churned users?
- Is the first-time experience confusing?
- Are notifications being ignored?
- Are there bugs affecting repeat usage?

Engagement Metrics as RCA Triggers

- A low **DAU/MAU ratio** may trigger RCA:
 - Are notifications irrelevant?
 - Is the app valuable enough for frequent use?

- Are users facing friction in daily workflows?

DAU/MAU: What It Is and Why It Matters



Definitions

- **DAU = Daily Active Users**
The number of unique users who engage with your product at least once in a day.
- **MAU = Monthly Active Users**
The number of unique users who engage with your product at least once in a month.
- **DAU/MAU Ratio = $DAU \div MAU$**
A percentage indicating what portion of your monthly users are active daily.
Often referred to as the stickiness ratio.

Why DAU/MAU Matters

Purpose	Description
User Engagement	Higher ratio → higher habit formation or utility.
RCA Trigger	A sudden drop signals a deeper engagement or value problem.
Growth Quality	Growing MAU without DAU growth? → Superficial adoption.

**Experiment
Evaluation**

**Useful for seeing the impact of new features or
UX changes.**

RCA Through DAU/MAU Example

Let's say:

- **MAU is growing, but DAU remains flat.**
- **That means more people are trying your product, but not using it daily.**

RCA Questions:

- **Is onboarding bad? (users try once but don't return)**
- **Is value episodic, not daily? (e.g., flight booking app)**
- **Are daily use cases being blocked by bugs or complexity?**
- **Are notifications helping or annoying?**

Typical DAU/MAU Benchmarks (From TPS Week 2)

Product Type	DAU/MAU Ratio	Reason
Social Media (e.g., TikTok)	50–70%	High habit-forming behavior

Messaging (e.g., WhatsApp)	60–80%	Daily communication need
E-commerce (e.g., Amazon)	15–30%	Event-based usage
Professional (e.g., LinkedIn)	10–20%	Occasional usage
Streaming (e.g., Spotify)	30–50%	Entertainment-based, depending on user patterns

How to Improve DAU/MAU Ratio

Strategy	How It Helps
Improve onboarding	Ensures new users understand and engage from Day 1
Smart notifications	Bring users back meaningfully without annoying them
Habit-forming hooks	Streaks, challenges, playlists, personalized recaps
Personalization	Tailored experience → more relevance → more use
Feature audits	Remove friction points that block repeat use

PM Action Framework (DAU/MAU-focused RCA)

1. Track changes in DAU/MAU weekly/monthly
2. Segment users (by cohort, geography, device)
3. Identify which user group is:
 - Using app monthly but not daily
 - Was active but churned suddenly
4. Run user interviews to understand friction or dissatisfaction
5. Experiment with nudges, UX fixes, incentives
6. Measure DAU/MAU again → iterate.

Quick Shot Prompts = RCA Scenarios

The “Quick Shot” sections ask hypothetical questions like:

“If one thumbnail gets more clicks but lower completion rates, which would you choose?”

1. CIRCLES Method™ from *Decode and Conquer*

This is a structured framework for answering product design questions. It's very relevant to RCA because it helps dissect a problem systematically.

CIRCLES stands for:

- Comprehend the situation
- Identify the customer
- Report the customer's needs

- Cut through prioritization
- List solutions
- Evaluate trade-offs
- Summarize your recommendation

This framework is **essentially RCA in design thinking form**, helping PMs identify **why a user pain exists** and how to solve it.

2. Metrics and Trade-Off Thinking

Example question from the reading:

“Your new feature boosts Amazon Search by 10%, but adds 2s to load time.
What do you do?”

To resolve this:

- You investigate **what caused the slowdown** (i.e., do RCA),
- Measure **impact vs. downside**,
- Use metrics to weigh the trade-off.